COURT / ESTATE FILE NUMBER	2501-09028
COURT	COURT OF KING'S BENCH OF ALBERTA
JUDICIAL CENTRE	CALGARY
	IN THE MATTER OF THE BANKRUPTCY AND INSOLVENCY ACT, RSC 1985, C B-3, AS AMENDED AND IN THE MATTER OF THE RECEIVERSHIP OF 2755857 ALBERTA LTD.
APPLICANT	UCAPITAL – ULOAN SOLUTIONS INC.
RESPONDENT	CLEO ENERGY CORP.
DOCUMENT	**BRIEF OF LAW**
ADDRESS FOR SERVICE AND CONTACT INFORMATION OF PARTY FILING THIS DOCUMENT	MILLER THOMSON LLP Barristers and Solicitors 525-8th Avenue SW, 43rd Floor Calgary, AB, Canada T2P 1G1 Attention: James W. Reid / Pavin Takhar Telephone: 403-298-2418 / 403-298-2432 Email: jwreid@millerthomson.com/ ptakhar@millerthomson.com File No. 0289127.0002

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I. INTRODUCTION

1. This Brief of Law is filed in support of the Application returnable September 16, 2026 (the "**Application**") of Alvarez & Marsal Canada Inc. ("**A&M**"), in its capacity as Court-appointed receiver and manager (the "**Receiver**") of the undertakings, properties and assets of 2755857 Alberta Ltd. ("**ResidualCo**") for an Order which provides the following relief, among other things:

   (a) declaring service of this Application (and all supporting materials thereto) to be good and sufficient and, if necessary, abridging the time for service of the Application to the time actually given, such that the Application is properly returnable on the date on which it is heard;

   (b) determining whether the Reverse Vesting Order granted November 15, 2025 (the "**Revised RVO**") had any impact on the eligibility of former employees of Cleo (defined herein) for purposes of the *Wage Earner Protection Program Act* (Canada) ("**WEPPA**");

   (c) approving the proposed distributions of the Receiver as set out in the in the Fourth Report of the Receiver, dated September 8, 2026 (the "**Fourth Report**");

   (d) approving the fees and disbursements of the Receiver and its legal counsel, Miller Thomson LLP ("**Miller Thomson**"), including the Forecast Fees and Costs (defined herein), as outlined in the Fourth Report;

   (e) approving the Receiver's actions, activities and conduct since the Third Report and throughout the Receivership Proceedings, including the Final Statement of Receipts and Disbursements (the "**Final Statement of Receipts and Disbursements**") and the Final Cash Flow Forecast as set out in the Fourth Report;

   (f) discharging the Receiver upon the filing of a certificate confirming the completion of the Receiver's remaining obligations (the "**Discharge Certificate**") and, upon the discharge of the Receiver (the "**Discharge**"); and

   (g) granting such further and other relief as counsel may request and this Honourable Court may deem appropriate.

II. FACTS

2. The factual background is set out in the Fourth Report.

3. Any capitalized terms otherwise not defined herein shall have the meaning ascribed in the Fourth Report.

III. ISSUES

4. The issues to be addressed on this Application are whether:

   (a) the Revised RVO had any impact on previously approved WEPP Payments entitlements or distributions provided to former employees, and whether steps subsequent to an employee's termination in a receivership can be used to change a party's eligibility;

   (b) the Receiver shall be permitted to make the distributions as set out in the Fourth Report;

   (c) the Receiver's actions and activities, including the Final Statement of Receipts and Disbursements, ought to be approved;

   (d) the fees and disbursements of the Receiver and its legal counsel, Miller Thomson, ought to be approved, including the Forecast Fees and Costs;

   (e) the Final Cash Flow Forecast ought be approved; and

   (f) the Receiver ought to be discharged.

IV. LAW AND ARGUMENT

A. The Revised RVO Had No Impact on Former Employees' Eligibility Under WEPPA

5. WEPP is a federally administered wage protection program designed to compensate employees whose employers become insolvent and are unable to pay outstanding wages.[1] The program operates pursuant to the WEPPA, which establishes the criteria employees must satisfy to qualify for compensation.[2]

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[1] *Wage Earner Protection Program Act*, SC 2005, c 47, s 1 [*WEPPA*].
[2] *Ibid*, s 4.

6. As described by the Superior Court of Quebec in *Arrangement relatif à Former Gestion Inc.*, WEPPA is "clearly remedial legislation intended to provide protection to workers who suffer lost wages as a result of a bankruptcy or restructuring."[3] Due to its remedial nature, WEPPA should be "given such, fair, large and liberal construction and interpretation as best ensures the attainment of its objectives."[4] The mischief sought to be cured by WEPPA is the absence of a solvent employer who can pay wages owing to former employees.[5]

7. Regardless of whether an insolvent former employer sells its assets pursuant to an asset purchase transaction, or it sells its shares pursuant to a reverse vesting transaction, the employees have no solvent employer from which to claim wages.[6] Further, the Court in *Synaptive* confirmed that there is no substantive difference between a traditional asset sale and reverse vesting transaction that would justify different treatment under WEPPA.[7]

8. The relevant time of determination of employees' entitlements under WEPPA is "the moment at which an insolvent entity's employees are terminated due to a bankruptcy or restructuring"—what happens after that moment is irrelevant.[8] This Court agreed with this proposition.[9] In light of this, the relevant period of determining eligibility for the Former Employees was their employment termination date being June 3, 2025, when Cleo was put into receivership.

9. The Superior Court of Quebec further stated that, in the event an employee is owed eligible wages by a former employer, at the moment the former employer terminated all its employees, s. 5.1(c) of WEPPA is satisfied.[10]

10. The Revised RVO should of had no impact on the eligibility of the Former Employees under WEPPA. The subsequent emergence of Cleo from the within receivership proceedings due to the Revised RVO cannot be used to disentitle the Former Employees from the WEPP Payments.

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[3] *Arrangement relatif à Former Gestion Inc*, 2024 QCCS 3645 ("***Just for Laughs"***) at para 27.
[4] *Ibid*;*1001270243 Ontario Inc*, 2026 ONSC 3967 ("***Synaptive***") at para 26.
[5] *Just for Laughs* at para 32.
[6] *Ibid* at para 7.
[7] *Synaptive* supra note 4 at para 49.
[8] *Ibid* at para 34.
[9] *Re Cleo Energy Corp*, 2025 ABKB 621 at para 45 ("***Re Cleo***").
[10] *Just for Laughs*, supra note 3 at para 34.

11. Courts have recently confirmed that a residual company created by a reverse vesting order can be a "former employer" under WEPPA[11] as this supports the problem sought to be cured by WEPPA being the absence of a solvent employer. Whether an asset sale or a reverse vesting order is completed there is no difference as employees who have lost their jobs have no solvent employer to claim wages from.[12]

12. The Former Employees of Cleo made claims under WEPP for unpaid wages following their termination. These Former Employees were paid the WEPP Payments since they qualified for payment.

13. The ESDC gave warning in this matter that if the Transaction proceeded these employees could face a clawback of the WEPP Payments.

14. The Court provided its own stern warning to ESDC following the clawback discussion.

> WEPP exists to protect employees from the adverse consequences of the insolvency of their employer. Terminated employees have no control over how insolvency and restructuring transactions are structured after their termination. Terminated employees who have received WEPPs payment and have no inkling of the possibility of a clawback may have used the money to pay for groceries or rent. A choice to clawback payments made to terminated employees of an insolvent corporation because of subsequent events beyond their control would be to the immense discredit of the Minister and, I would hope, be swiftly reversed by the Canada Industrial Relations Board or the Federal Court of Appeal.[13]

15. Notwithstanding the above warning, ESDC chose to claw back the WEPP Payments made to the Former Employees. In certain cases, ESDC, through the CRA or otherwise, has caused the tax returns of the Former Employees to be withheld until repayment of the WEPP Payments are made.[14] The Receiver understands that certain Former Employees have applied to have ESDC's decision reversed; however, the Receiver is not aware of any such reversals at this time.[15]

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[11] *Synaptive* supra note 4 at para 33-35.
[12] *Ibid* at para 40, citing *Just for Laughs.*
[13] *Re Cleo* supra note 9 at para 46.
[14] Fourth Report at para 26.
[15] Fourth Report at para 26.

16. The ESDC suggest that there is no place for a Superior Court of Alberta to look at this matter, and that this is a matter for the Canada Industrial Relations Board or the Federal Court. The Alberta Court has already addressed that it does have a say on clawbacks.[16]

17. ESDC has used the Revised RVO granted in the receivership proceedings as a justification to claw back WEPP Payments, it is important and appropriate that this Court provides its advice on how to protect the Former Employees rights and prevent the clawback.

18. The object of WEPPA is to protect terminated employees who lost wages in their former employer's bankruptcy or restructuring, interpreting WEPPA to prevent those employees' recoveries runs contrary to its purpose.[17]

19. The clawback initiated by ESDC is contract to public policy, law and inherently unfair and prejudicial to the Former Employees.

B. The Receiver's Distributions Should Be Approved

20. The Receiver holds the Purchase Price Funds and ResidualCo Funds.

Cure Cost Claimants

21. The Revised RVO provided that the Purchase Price proceeds will be used to satisfy any valid and proven cure costs that may be owing in respect of the Crown in right of Alberta.[18] Any other claimants with proven cure costs that may be owing in respect of the contracts transferred to ResidualCo will be entitled to be paid from the Purchase Price proceeds pro rata, subject only to the Receiver's Charge.[19]

22. The Receiver, in consultation with Miller Thomson, has conducted a review of the Cure Cost Claims and determined that they represent valid cure costs owing in respect of the retained assets identified in the share purchase agreement under the Transaction.[20]

23. The aggregate amount of the Cure Cost Claims, following payment of the Proven Alberta Crown Cure Costs, is less than the Purchase Price Funds available for distribution, and

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[16] *Ibid* at para 45.
[17] *Ibid*..
[18] Revised RVO at para 10.1
[19] *Ibid.*
[20] Fourth Report at para 45.

the Cure Cost Claimants are entitled to receive a distribution in the full amount of their respective Cure Cost Claims.[21]

24. The remaining Purchase Price Funds following payment to the Cure Costs Claimants is to be transferred to ResidualCo.[22]

Secured Pre-Filing Claimants

25. The Receiver, in consultation with Miller Thomson, has conducted a review of the Secured Pre-Filing Claims to determine the priority of the distributions of ResidualCo Funds.[23] The ResidualCo Funds are not sufficient to repay all outstanding Secured-Pre Filing Claims, and there are no recoveries for unsecured creditors.

26. The Receiver and Miller Thomson have determined that the AER and Municipalities have priority secured claims as a result of statutory entitlements under the *Oil and Gas Act* (Alberta) and *Municipal Government Act* (Alberta).[24] However, the Receiver is not in a position to determine priority as between the AER and Municipalities.

27. The Receiver facilitated discussions between the AER and Municipalities to address their competing priority claims to the ResidualCo Funds.[25]

28. The AER and Municipalities together reached the Settlement, which sees a pro-rata distribution of the ResidualCo Funds.[26] This pro rata distribution is set out at paragraph 60 of the Fourth Report.[27]

29. The Receiver supports a distribution to the AER and Municipalities in accordance with the Settlement.

C. The Receiver's Actions and Activities Should Be Approved

30. This Court has jurisdiction to review and approve the activities of a court-appointed receiver.[28]

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[21] Fourth Report at para 45.
[22] Fourth Report at para 46.
[23] Fourth Report at para 39.
[24] Fourth Report at paras 39-41.
[25] Fourth Report at para 43.
[26] Fourth Report at para 43.
[27] Fourth Report at 60.
[28] *Leslie & Irene Dube Foundation Inc v P218 Enterprises Ltd,* 2014 BCSC 1855 at para 54.

31. A receiver's conduct is to be assessed objectively, and a Court should approve the activities set out in a receiver's report if the activities are reasonable, prudent, and not arbitrary.[29]

32. The Receiver's activities since the Third Report are set out in the Fourth Report and include among other things, responding to creditor and stakeholder enquiries, administering the Claims Procedure, communicating with the Former Employees regarding the clawback of the WEPP Payments; communications with the secured creditors, and discussions with Sumerian Oil & Gas Inc. (formerly Cleo).[30]

33. The Receiver's actions and activities are reasonable and prudent and are consistent with its mandate. The Receiver's actions and activities should be approved together with the Receiver's Final Statement of Receipts and Disbursements, as set out in the Fourth Report.

D. The Receiver and its Counsel's Fees and Disbursements Should Be Approved

34. In *Bank of Nova Scotia v Diemer,*[31] the Ontario Court of Appeal applied the non-exhaustive factors originally set out in *Belyea v Federal Business Development Bank*[32] to be considered to determine whether a receiver's fees are fair and reasonable:

(a) the nature and extent of the value of the assets handled;

(b) the complications and difficulties encountered;

(c) the degree of assistance provided by the company, its officers or employees;

(d) the time spent;

(e) the receiver's knowledge, experience and skill;

(f) the diligence and thoroughness displayed by the receiver;

(g) the responsibilities assumed;

(h) the results of the receiver's efforts; and

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[29] *Ibid.*

[30] Fourth Report at para 16.

[31] *Bank of Nova Scotia v Diemer,* 2014 ONCA 851 at para 33.

[32] *Belyea v Federal Business Development Bank*, [1983] NBJ No. 41 (CA) at para 9.

(i) the cost of comparable services.

35. The Receiver's fees, and those of its counsel, were incurred in connection with the Receiver's activities. These activities required diligence, thoroughness, and significant time expenditure.

36. The Forecast Fees and Costs of Receiver and the Receiver's Counsel to complete this engagement (August 30, 2026, to discharge) are approximately $35,000 and $20,000 respectively, which includes fees and costs incurred from August 30, 2026, to the date of the Fourth Report, but not paid.

37. The Receiver respectfully submits that its professional fees and disbursements and those of its legal counsel for the Receiver Taxation Period, the Miller Thomson Taxation Period and the Forecast Fees and Costs are fair and reasonable in the circumstances, given the substantive tasks performed by the Receiver and its legal counsel in connection with the Receivership Proceedings and the tasks to be completed.[33]

E. The Final Cash Flow Forecast Should Be Approved

38. The Receiver has prepared the Final Cash Flow Forecast to conclude the Receivership Proceedings.

39. The Final Cash Flow Forecast is based on assumptions regarding future events.[34]

40. The Final Cash Flow Forecast is fair and reasonable in the circumstances to complete the administration of the Receivership Proceedings.

F. Discharge of the Receiver Should Be Approved

41. The Receiver has substantially completed its mandate as contemplated by the Receivership Order, the previous Orders in this matter, and under the BIA. Accordingly, the Receiver respectfully submits that it should be discharged and released, following its administration of the estate (including paying the distributions, and the Receiver's fees and counsel's fees and disbursements), and the activities as set out in paragraph 75 of

[33] Fourth Report at para 71.
[34] Fourth Report at para 58.

the Fourth Report necessary to conclude the Receivership Proceedings have been completed.[35]

42. The Receiver also seeks a release from any and all liability that it now has or may hereafter have by reason of, or in any way arising out of, the acts or omissions of the Receiver while acting in its capacity as Receiver, save and except for any gross negligence or willful misconduct on the part of the Receiver.

43. The release is a standard term and mirrors the language used in the Commercial List model discharge order.

V. CONCLUSION

44. Based on the foregoing, the Receiver requests that this Honourable Court grant the relief sought in the Application.

ALL OF WHICH IS RESPECTFULLY SUBMITTED THIS 9th DAY OF SEPTEMBER, 2026.

MILLER THOMSON LLP

Per: PKTakhar

James W. Reid / Pavin Takhar
Counsel for the Applicant, Alvarez & Marsal Canada Inc., in its capacity as Receiver of 2755857 Alberta Ltd. and not in its personal or corporate capacity

[35] Fourth Report at para 74.

TABLE OF AUTHORITIES

Tab No.	Authority
1.	*Wage Earner Protection Program Act*, SC 2005, c 47
2.	*Arrangement relatif à Former Gestion Inc*, 2024 QCCS 3645
3.	*1001270243 Ontario Inc*, 2026 ONSC 3967
4.	*Re Cleo Energy Corp*, 2025 ABKB 621
5.	*Leslie & Irene Dube Foundation Inc v P218 Enterprises Ltd,* 2014 BCSC 1855
6.	*Bank of Nova Scotia v Diemer,* 2014 ONCA 851
7.	*Belyea v Federal Business Development Bank*, [1983] NBJ No. 41 (CA)

TAB 7 - Belyea v Federal Business Development Bank, [1983] NBJ No. 41 (CA)

1983 CarswellNB 27, [1983] N.B.J. No. 41, 116 A.P.R. 248, 18 A.C.W.S. (2d) 19, 44 N.B.R. (2d) 248, 46 C.B.R. (N.S.) 244

KeyCite treatment
Most Negative Treatment: Distinguished
Most Recent Distinguished: Yavis, Re | 1995 CarswellBC 885, 36 C.B.R. (3d) 110, [1995] B.C.W.L.D. 2457, 57 A.C.W.S. (3d) 915 | (B.C. S.C., Jul 28, 1995)

1983 CarswellNB 27
New Brunswick Court of Appeal

Belyea v. Federal Business Development Bank

1983 CarswellNB 27, [1983] N.B.J. No. 41, 116 A.P.R. 248, 18 A.C.W.S. (2d) 19, 44 N.B.R. (2d) 248, 46 C.B.R. (N.S.) 244

BELYEA and FOWLER v. FEDERAL BUSINESS DEVELOPMENT BANK

Hughes C.J.N.B., Ryan and Stratton JJ.A

Judgment: January 18, 1983
Docket: No. 31/82/CA

Subject: Corporate and Commercial; Insolvency
Related Abridgment Classifications
Debtors and creditors
VII Receivers
VII.3 Appointment
VII.3.b Application for appointment
VII.3.b.ii Person entitled to make application
VII.3.b.ii.A General principles
Debtors and creditors
VII Receivers
VII.8 Remuneration of receiver
VII.8.b Remuneration
VII.8.b.iii Miscellaneous
Headnote
Receivers --- Appointment — Application for appointment — Person entitled to make application — General
Receivers --- Remuneration of receiver — Remuneration
Secured creditors — Receiver appointed by document — Remuneration — Factors to be considered.
There is no fixed rate or settled scale for determining the amount of compensation to be paid a receiver. He is usually allowed either a percentage upon his receipts or a lump sum based upon the time, trouble and degree of responsibility involved. The governing principle appears to be that the compensation allowed a receiver should be measured by the fair and reasonable value of his services and, while sufficient fees should be paid to induce competent persons to serve as receivers, receiverships should be administered as economically as reasonably possible. Thus, allowances for services performed must be just, but nevertheless moderate rather than generous. The considerations applicable in determining the reasonable remuneration to be paid to a receiver should include the nature, extent and value of the assets handled, the complications and difficulties encountered, the degree of assistance provided by the company, its officers or its employees, the time spent, the receiver's knowledge, experience and skill, the diligence and thoroughness displayed, the responsibilities assumed, the results of the receiver's efforts and the costs of comparable services when performed in a prudent and economical manner. Whether an account for services is fair and reasonable is a matter of some difficulty. In many cases, attempts have been made to establish this fact by calling as witnesses persons who engage in the same profession or calling to testify that the charges made are the usual and normal charges for similar services made by members of that particular profession or calling in their locality. Even though a professional is entitled to a fair, just and reasonable compensation measured by the reasonable value of the services rendered, the fees charged must

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bear some reasonable proportion to the amount of the value affected by the controversy or involved in the employment. Thus, in cases where a professional is aware of the amount at issue, the courts will impose an underlying or implied limit or maximum on the professional fees it will allow, based on what is reasonable in relation to the dollar amount involved in the particular case. Generally speaking, courts have been reluctant to award remuneration based solely upon the time spent by the appointee in performing his duties. They have preferred to award either a lump sum or a commission upon the amount collected or realized by the receiver. However, whether the commission or lump sum method is used in computing the compensation to be paid to a receiver, the compensation awarded must be fair and reasonable having regard to all of the material facts and circumstances of the particular case.

Table of Authorities

Cases considered:

Considered by majority:

Amalg. Syndicates, Re, [1901] 2 Ch. 181, 17 T.L.R. 486 — *referred to*

Campbell v. Arndt (1915), 8 Sask. L.R. 320, 9 W.W.R. 57, 24 D.L.R. 699 (S.C.) — *referred to*

Cowie (J.W.) Enrg. Ltd. v. Allen (1982), 26 C.P.C. 241, 52 N.S.R. (2d) 321 (C.A.) — *referred to*

Eastern Trust Co. v. N.S. Steel & Coal Co. Ltd. (1938), 13 M.P.R. 237 (N.S.C.A.) — *referred to*

Hall v. Slipp (1894), 1 N.B. Eq. 37 — *referred to*

Ibar Devs. Ltd. v. Mount Citadel Ltd. (1978), 26 C.B.R. (N.S.) 17 (Ont. S.C.) — *referred to*

Indust. Dev. Bank v. Garden Tractor & Equipment Co. Ltd., [1951] O.W.N. 47 (H.C.) — *referred to*

Considered in dissent:

Lister (Ronald Elwyn) Ltd. v. Dunlop Can. Ltd., [1982] 1 S.C.R. 726, 41 C.B.R. (N.S.) 272, 18 B.L.R. 1, 135 D.L.R. (3d) 1, 65 C.P.R. (2d) 1, 42 N.R. 181 — *referred to*

Statutes considered:

Evidence Act, R.S.N.B. 1973, c. E-11, s. 49.

Authorities considered:

75 C.J.S. 1067.

Williston on Contracts, 3rd ed. (1967), vol. 10, pp. 928-29.

Action by secured creditors against debtor for deficiency owing under guarantee; claim that receiver's remuneration excessive.

***Stratton J.A.* (*Hughes C.J.N.B.* concurring):**

1 I have had the benefit of reading the judgment prepared by my brother Ryan and regret that I am unable to agree in all respects with his proposed disposition of this appeal [from 40 C.B.R. (N.S.) 157, 38 N.B.R. (2d) 162, 100 A.P.R. 162].

2 In his factum counsel for Messrs. Belyea and Fowler raises two grounds of appeal, namely, the reasonableness of the refusal by the Federal Business Development Bank to accept an offer made by Mr. Sam Gamblin to purchase the inventory of Chase Camera & Supply Limited for $40,000, and the reasonableness of the receiver's account of $11,730. I agree with Ryan J.A. that the refusal by the bank to accept the Gamblin offer was not, in the circumstances, unreasonable. However, I do not agree that the receiver satisfactorily established that its account for services was fair and reasonable.

3 There is no fixed rate or settled scale for determining the amount of compensation to be paid a receiver. He is usually allowed either a percentage upon his receipts or a lump sum based upon the time, trouble and degree of responsibility involved. The governing principle appears to be that the compensation allowed a receiver should be measured by the fair and reasonable value of his services and while sufficient fees should be paid to induce competent persons to serve as receivers, receiverships should be administered as economically as reasonably possible. Thus, allowances for services performed must be just, but nevertheless moderate rather than generous.

4 The principles applicable in fixing the remuneration to be allowed a receiver have been discussed in a number of decisions. In the frequently quoted case of *Campbell v. Arndt* (1915), 8 Sask. L.R. 320, 9 W.W.R. 57, 24 D.L.R. 699 (S.C.) , it was pointed

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out that a receiver is generally paid by a commission on the gross amount of his receipts, the rate of which varies from 2 to 5 per cent in proportion to the care and trouble involved. The court in that case concluded that, although the receiver must have spent considerable time and experienced a good deal of trouble, there did not appear to have been any very exceptional difficulties entitling him to exceptionally larger fees and, accordingly, he was awarded as a fair remuneration a commission of 5 per cent of the funds coming into his hands.

5 A lump sum was awarded to receivers by the Nova Scotia Court of Appeal in *Eastern Trust Co. v. N.S. Steel & Coal Co. Ltd.* (1938), 13 M.P.R. 237 . In making their award, the court said at p. 240:

> As we view it, we are entitled, in order to fix the remuneration of both receivers and liquidators, to survey the entire operations under their charge since their appointment, to take into consideration the time each of them gave to the work and the responsibilities resting on them as receivers and liquidators, and to determine what the work necessarily done should cost, if conducted prudently and economically.

6 A lump sum was also awarded a receiver as fair compensation for his services in *Indust. Dev. Bank v. Garden Tractor & Equipment Co. Ltd.*, [1951] O.W.N. 47 (H.C.) . In that case, Marriott, Master, said at p. 48:

> In fixing the compensation of a receiver, the Court always has had complete jurisdiction to allow what is fair and reasonable under all the circumstances, but a receiver has no *prima facie* right to any fixed rate as a trustee in bankruptcy has under The Bankruptcy Act. In Kerr on Receivers, 11th ed. 1946, at p. 279, it is stated: "In the case of receivers and managers there is no fixed scale. They are sometimes allowed 5 per cent on the receipts: in other cases their remuneration is fixed at a lump sum or regulated by the time employed by the receiver, his partners and clerks." In *Re Fleming* (1886), 11 P.R. 426 , Chancellor Boyd stated: "Five per cent commission may be a reasonable allowance in many cases, but where the estate is large and the services rendered are of short duration and involving no very serious responsibility, such a rate may be excessive."

7 In fixing a lump sum rather than a percentage fee for a receiver's compensation in *Ibar Devs. Ltd. v. Mount Citadel Ltd.* (1978), 26 C.B.R. (N.S.) 17 (Ont. S.C.) , Saunders, Master, concluded that remuneration on a 5 per cent basis was just too high. He held that the receiver was entitled to a fair fee on the basis of a quantum meruit according to the time, trouble and degree of responsibility involved.

8 It should perhaps be noted that there is American authority for the proposition that where the duties of the receiver consist in liquidating assets, a commission on the fund is a more appropriate method of compensation than that based on a fair price for the labour and time employed, and is the one commonly used. Where the compensation is so computed, 5 per cent is the usual and customary rate in ordinary cases. However, the rate varies according to the degree of difficulty or facility in the collection of different receipts: see 75 C.J.S. 1067.

9 The considerations applicable in determining the reasonable remuneration to be paid to a receiver should, in my opinion, include the nature, extent and value of the assets handled, the complications and difficulties encountered, the degree of assistance provided by the company, its officers or its employees, the time spent, the receiver's knowledge, experience and skill, the diligence and thoroughness displayed, the responsibilities assumed, the results of the receiver's efforts, and the cost of comparable services when performed in a prudent and economical manner.

10 Experienced counsel know that it can be a matter of some difficulty to prove that an account for services is fair and reasonable. In many cases, counsel attempt to establish this fact by calling as witnesses persons who are engaged in the same profession or calling to testify that the charges made by the plaintiff are the usual and normal charges for similar services made by members of that particular profession or calling in their locality. In the present case, where the receiver was a chartered accountant, no evidence was tendered by any member of the accounting profession as to the usual and normal charges made for services similar to those performed by the receiver nor, indeed, was any evidence called other than that of the receiver, to establish the reasonableness of the charges which he unilaterally made for his services.

11 One of the compelling factors referred to in Williston on Contracts, 3rd ed. (1967), vol. 10, pp. 928-29 as a determinant of the reasonable value of services performed by lawyers is the amount involved. To state this proposition another way, even

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though a professional is entitled to a fair, just and reasonable compensation measured by the reasonable value of the services rendered, the fees charged must bear some reasonable proportion to the amount of money or the value affected by the controversy or involved in the employment. Thus, in cases where a professional is aware of the amount at issue, courts will impose an underlying or implied limit or maximum on the professional fees it will allow based on what is reasonable in relation to the dollar amount involved in the particular case: see *J.W. Cowie Enrg. Ltd. v. Allen* (1982), 26 C.P.C. 241, 52 N.S.R. (2d) 321 (C.A.) .

12 Generally speaking, courts have been reluctant to award remuneration based solely upon the time spent by the appointee in performing his duties: see *Re Amalg. Syndicates*, [1901] 2 Ch. 181, 17 T.L.R. 486 . They have preferred to award either a lump sum or a commission upon the amount collected or realized by the receiver. However, whether the commission or lump sum method is used in computing the compensation to be paid to a receiver, the compensation awarded must be fair and reasonable having regard to all of the material facts and circumstances of the particular case. In determining the fairness and reasonableness of a receiver's remuneration it is, I think, well to keep in mind what was said by Barker J. on this subject as long ago as 1894 in *Hall v. Slipp*, 1 N.B. Eq. 37 -39:

> ... while it is important that a remuneration consistent with the responsibility of the position should be allowed, it is of equal importance that the position should not be made a means simply of absorbing the moneys of creditors and others whose interests it is the duty of this Court to protect.
>
> ... while, as a general rule, a commission of five per cent. on receipts is allowable, exceptions are made in special cases, both in the way of increasing the amount where unusual work is required, or diminishing it where the amounts are large or the trouble is insignificant.
>
> ... It is evident, if the necessary expenses of administering estates in this Court bear so large a proportion to the amount involved as this, the practical result is simply to enrich the Court's officers at the expense of the suitors. In my opinion, however, the practice of the Court warrants no such result; and I think it only right to point out that it is a mistake to support that those who act as receivers are entitled to charge, or will be allowed, a remuneration made up on a scale of fees applicable to leading counsel.

13 In the present case, there was no evidence tendered of any express agreement regarding the remuneration to be paid to the receiver. Nor do I think that this is an appropriate case in which to limit the compensation payable to the receiver to a reasonable percentage of the assets handled. On the other hand, were I to uphold the finding of the trial judge, I would in effect be allowing the receiver a fee equivalent to 35 per cent of the amount realized on the sale of the assets.

14 The record discloses that the receiver sold the inventory of Chase Camera & Supply Limited for $30,075 and that the total receipts from all sources were $36,566. The receiver charged a fee for its services of $11,730 which it deducted from the funds in its hands, remitting the balance to the bank. There was no evidence that this receivership was in any way complex. Indeed, the evidence was that the officers of Chase Camera & Supply Limited provided a good deal of assistance to the receiver in the disposition of the assets. In all of the circumstances, it is my opinion that the fee deducted by the receiver, categorized by one of the employees of the bank as "high", was unreasonable in relation to the dollar amount realized on the sale of the inventory and ought to have been reduced. In failing to make that reduction, I think the trial judge erred in principle.

15 Counsel for the Federal Business Development Bank did not call as witnesses the persons who actually performed the work in this receivership, other than Mr. Fowler who supervised it, nor did he tender in evidence any "record or entry of an act, condition or event made in the regular course of" the business of the receiver. In the absence of such evidence, it is difficult to see how s. 49 of the Evidence Act, R.S.N.B. 1973, c. E-11, can be of any assistance to the receiver in establishing its account. Moreover, the only evidence, other than that of Mr. Fowler, as to the reasonableness of the receiver's account was that of the in-house solicitor for the bank who testified that in a case such as this present one he "would have expected a receiver's bill of approximately $5,000.00, say in the range of $4,000.00 to $6,000.00, which would be something which we would reasonably anticipate". In view of this evidence, it is my opinion that a reasonable remuneration to the receiver in this case would be $6,000.

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16 As my brother Ryan points out, the reasonableness of a demand for payment given on the same day that the bank was informed of a potential sale of the company's inventory was not in issue before us nor, for that matter, was it made clear what act of default by the company was relied upon by the bank as entitling it to crystallize its debenture. Therefore, these matters were not considered on this appeal.

17 I would allow the appeal and reduce the judgment at trial to $4,591.03. The defendants are entitled to the costs of this appeal which I would fix at the sum of $750.

Ryan J.A. **(dissenting):**

18 This is an appeal by the defendants from a decision of a judge of the Court of Queen's Bench, wherein he directed judgment for the plaintiff against the defendants, jointly and severally, in the sum of $10,249.03 together with costs. In its action the plaintiff claimed against the defendants for a deficiency which it alleged was owing to it under a guarantee given by the defendants to secure a loan of $40,000 advanced by the plaintiff to Chase Camera & Supply Ltd.

19 The following facts are set out in the decision of the trial judge reported in (1982), 40 C.B.R. (N.S.) 157, 38 N.B.R. (2d) 162 at 163 -64, 100 A.P.R. 162 :

> In the summer of 1978 the plaintiff lent $40,000.00 to the company. To secure the loan the plaintiff took a debenture which gave it the right to appoint a receiver. The defendants guaranteed the loan. Both the debenture and guarantee were received in evidence.
>
> Relations between the company and the plaintiff were uneventful until August 27, 1979 when events started happening quickly. That morning Mr. Belyea visited Donald O'Leary, a senior credit officer of the plaintiff, and informed him that the company was in poor financial shape and that Mr. Sam Gamblin, of Gem Photo, was accompanied Mr. Belyea to the meeting, was prepared to pay $40,000.00 for the company's inventory. Mr. Belyea pointed out that this amount would more than satisfy the company's indebtedness to the plaintiff which then stood at approximately $34,000.00. Mr. Belyea requested the plaintiff's permission for this transaction.
>
> By the afternoon of the same day the plaintiff had concluded that it could not consent to the transaction and instead appointed H.R. Doane Ltd. as receiver and requested them to take steps to liquidate the inventory. A partner of the Doane firm, Mr. Bev Fowler, was the Doane representative responsible for this task.
>
> Mr. Fowler described the various options open to him at that time and described his efforts in arranging a sale, which took place after tender, to a Bridgewater, N.S. company for $30,000.00. In addition the plaintiff realized $4,925.24 apart from the receiver's efforts. A balance of $7,749,03 remained owing on the $34,231.85 due at the date of demand. Mr. O'Leary made mention of a balance of $8,279.30 as of November 10, 1981 but gave no details of this higher figure.

20 At a pre-trial conference the parties agreed that the issues to be determined by the trial judge were:

> a) Did the plaintiff act reasonably in its refusal to accept the Gamblin offer? and
>
> b) Was the receiver's fee of $11,730 reasonable?

The same issues were raised on this appeal.

21 As to the first issue the trial judge held the plaintiff was justified in refusing to accept the Gamblin offer of $40,000 for the inventory of Chase Camera & Supply Ltd. because a substantial amount was owing to the plaintiff, the value of the inventory on which it held its security was unknown to it and because the defendant Belyea disclosed to the plaintiff the company's poor financial situation. These factors no doubt appeared to the plaintiff to jeopardize its position as a creditor. In my opinion, the refusal to accept the Gamblin offer was a business judgment which I cannot say was unreasonable.

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22 In his submission counsel for the defendants contended that, not only was the receiver's account unreasonable, but that the receiver had failed to prove that the work charged for was in fact performed. Mr. Fowler, a chartered accountant and licensed trustee, was an audit partner with H.R. Doane Limited specializing in insolvency work. He explained that each of Doane's employees is required to keep a time card upon which the employee enters the hours which he had spent each day on whatever accounts he works on. Mr. Fowler stated that at the end of each week the cards are "extended" and the information thereon is entered in each client's ledger account. He produced photocopies of all time cards and ledger sheets of the Chase Camera account which, by agreement of counsel, were used to establish the time spent by each employee who worked on the account.

23 In seeking to prove the reasonableness of the receiver's account, counsel for the plaintiff did not enter in evidence the employees' time cards or the client's ledger sheets, nor did he avail himself of s. 49 of the Evidence Act, R.S.N.B. 1973, c. E-11, which provides that:

> A record or entry of an act, condition or event made in the regular course of a business is, insofar as relevant, admissible as evidence of the matters stated therein if the court is satisfied as to its identity and that it was made at or near the time of the act, condition or event.

24 Notwithstanding the fact the photocopies of the time cards and the client's ledger sheets were not entered in evidence, counsel for the defendants cross-examined Mr. Fowler at length on their contents as though they had been entered in evidence. For this reason and because counsel for the parties agreed at a pre-trial conference that the issue to be decided by the trial judge with respect to the account was whether or not it was reasonable and fair, I am satisfied that the trial judge was entitled to rely on the entries made in the cards as well as the viva voce testimony of Mr. Fowler in determining whether the account was reasonable and fair. The trial judge's finding that the receiver's account was fair and reasonable is a finding of fact supported by the evidence. Moreover, no evidence was tendered by the defendants to prove that the charges were unreasonable, or that the work was not actually performed. As there was no palpable or overriding error in his finding this court will not interfere with it.

25 This appeal did not raise the issue of the requirement of reasonable notice to which a debtor is entitled when a debt is payable on demand. This requirement was illustrated by the decision of the Supreme Court of Canada in *Ronald Elwyn Lister Ltd. v. Dunlop Can. Ltd.*, [1982] 1 S.C.R. 726, 41 C.B.R. (N.S.) 272, 18 B.L.R. 1, 135 D.L.R. (3d) 1, 65 C.P.R. (2d) 1, 42 N.R. 181 delivered 31st May 1982 after the present appeal had been argued. The question whether or not the circumstances of the instant case give rise to a cause of action against the plaintiff is one which we need not consider on this appeal.

26 In the result, I would dismiss the appeal with costs to be taxed in accordance with the schedule of costs in force at the time the action was commenced.

Directions given.

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